

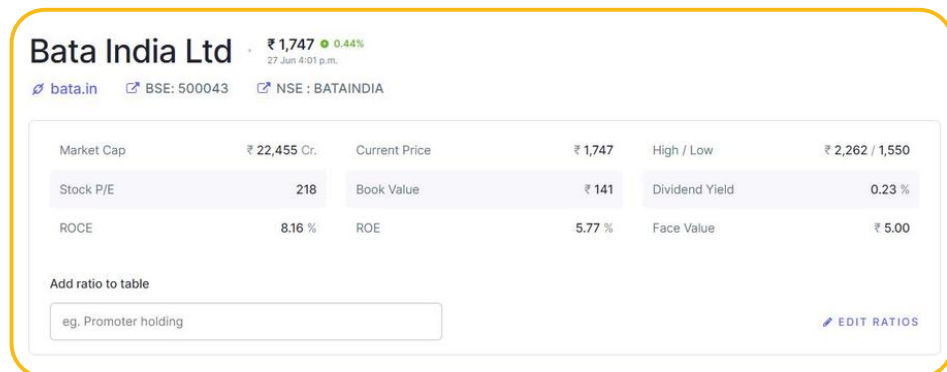
3 EV / EBITDA

Formula: Enterprise value/ EBITDA

$$\text{EV} = \text{Market Cap of the Company} + \text{Debt} - \text{Cash} - \text{Financial Investments}$$

Enterprise value

$$\text{EBITDA} = \text{Earnings before Interest Taxes and Depreciation/Amortisation}$$



Source: screener.in

$$\text{EV} = \underset{\text{(Market Cap)}}{4799} + \left(\underset{\text{(Borrowings)}}{896} - \underset{\text{(Investments)}}{277} - \underset{\text{(Cash)}}{60} \right)$$

$$\text{EV} / \text{EBITDA} = \frac{1456 - 470}{1686} = 2.6x$$

$$\text{EBITDA} = \underset{\text{(Profit before Tax)}}{1456} + \underset{\text{(Depreciation)}}{121} + \underset{\text{(Interest)}}{109}$$

This Ratio is generally used where depreciation expenses are quite heavy.

4 EV / EBIT

This ratio is calculated in the same manner as the EV/EBITDA. The only difference here is that depreciation is not included.

$$\text{EBITDA} - (-) \text{Ammortisation} - (-) \text{Depreciation}$$